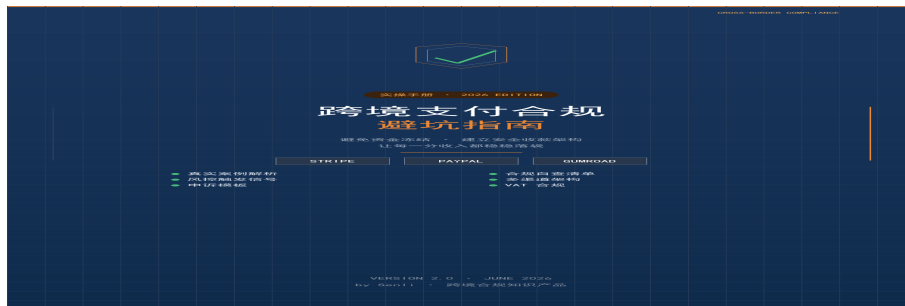




■# Cross-Border Payment Compliance Guide

A Practical Handbook for Digital Product Sellers Using Stripe / PayPal / Gumroad

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1. Why Fund Freezes Are Every Digital Seller's Nightmare

1.1 The Invisible Bomb in Cross-Border Payments

You've spent weeks creating design templates, writing an ebook, or producing an online course. You drive traffic from Facebook or Instagram to your standalone store. The first sale comes in -- excitement hasn't faded -- and then you get the email: **account limited, funds frozen**.

This isn't fearmongering. Industry data shows that **over 30% of digital product sellers encounter payment issues in their first year**, and about 15% have funds frozen for more than 30 days.

1.2 Real Case: A Designer's Stripe Ban

Background: Li Ming, a graphic designer, sold Canva template packs on his standalone store.

What Happened:

- Monthly revenue: ~,000
- Used Stripe for payments
- Received an email: Your account has been terminated. Funds frozen for 180 days.
- Reason: Product description contained boost your design efficiency fast, flagged as unfair business practice

Lessons Learned:

- Wording in product descriptions can trigger risk controls
- A 180-day freeze means cash flow disruption
- Appeal success rate is under 20%

1.3 What This Guide Will Help You Avoid

1. **Fund Freezes:** Understand each platform's risk triggers and avoid them proactively
2. **Compliance Risks:** Master VAT, sales tax, and other tax compliance essentials
3. **Appeal Strategies:** Standardized appeal processes when problems arise
4. **Architecture Design:** Build multi-channel payment systems to reduce single points of failure

1.4 How to Use This Guide

- **Quick Navigation:** Jump to the relevant chapter if you only care about one issue
- **Systematic Learning:** Read from start to finish for a complete compliance understanding
- **Practical Checks:** Use the checklist in Chapter 6 to audit your business regularly

2. Stripe: Complete Guide to Digital Product Payments

2.1 Allowed and Prohibited Digital Products

Explicitly Allowed Digital Products

- E-books, PDF documents
- Design templates, UI kits
- Photography assets, vector graphics
- Software, plugins, API services
- Online courses, video tutorials
- Music, podcast audio files
- Fonts, icon libraries

Prerequisites: *No intellectual property infringement, no prohibited content, accurate product descriptions*

Absolutely Prohibited Digital Products

The following content **must never** be processed through Stripe. Once detected, your account will be immediately terminated and funds may be frozen for up to 180 days.

1. Adult Content (Most Common Pitfall)

- Pornographic content, adult media stores
- Adult services (prostitution, companionship, sexual massage, etc.)
- Text, images, and other media intended for sexual gratification
- **AI-generated adult content** (newly explicitly banned in 2024)

Warning: *If your design templates, illustration assets, or ebooks contain any adult elements -- even glamour photo templates -- they will be flagged as violations.*

2. Illegal Products

- Illegal drugs, drug-related equipment

- Fake identification services
- Jamming devices (telecommunications equipment)
- Businesses that incite violence or illegal acts

3. Gambling Related

- Online gambling, casino games, lotteries
- Paid auctions
- Sports predictions with monetary rewards
- Any competitions involving skill-based betting

4. Intellectual Property Infringement

- Unauthorized distribution of software/music/movies
- Counterfeit goods
- Unauthorized brand/designer product sales

5. Unfair Business Practices (Easiest to Accidentally Violate!)

- **Get-rich-quick schemes:** Any promise of easy money, high returns with low investment
- **False endorsements / exaggerated claims:** 100% effective, guaranteed income
- **Pyramid schemes / multi-level marketing**
- **Resale without value-add:** Simply reselling others' content without adding any value
- **Selling online traffic or engagement data**

Practical Reminder: If your ebook title is Learn How to Earn 100K a Month or The Fast Track to Wealth, or your templates claim help you make big money easily, these phrases alone can trigger Stripe's unfair business practice flag.

6. Cryptocurrency / NFTs

- Cryptocurrency mining and staking
- Initial Coin Offerings (ICOs)
- Secondary NFT sales
- **First-party NFT minting and sales** (restricted, requires contacting Stripe sales team)

7. Travel

- Commercial aviation/cruise lines
- Timeshare services
- International charter flights

Restricted Businesses (Require Additional Due Diligence)

The following require Stripe pre-approval or additional review:

- **Content creation platforms:** Platforms selling exclusive content or digital products need Stripe pre-approval (individual creators posting on their own sites do not)
- **Stored value/credits:** Sale of stored value/credits not maintained by the seller is restricted
- **High financial risk businesses:** Travel booking services, onboard shopping, domestic charter air travel
- **Cryptocurrency exchanges:** Contact Stripe sales team
- **Firearms and other weapons:** Contact Stripe sales team

2.2 Five Most Common Mistakes by New Sellers

Mistake 1: Dropshipping Without Disclosure

- **Symptom:** Chinese sellers doing dropshipping through Stripe without declaring it during registration
- **Consequence:** Account terminated, funds frozen
- **Data:** 60% of Chinese sellers are banned for this
- **Solution:** Declare your business model honestly upfront

Mistake 2: Product Description Doesn't Match Reality

- **Symptom:** Promising lifetime updates but delivering nothing, or product features shrink over time
- **Consequence:** Buyer dispute rate rises, triggering risk control
- **Solution:** Product descriptions must be truthful and accurate; set reasonable user expectations

Mistake 3: Incomplete Website Information

- **Symptom:** Missing refund policy, contact info, privacy policy pages
- **Consequence:** Risk control flags as high-risk
- **Solution:** Ensure your website includes all compliance pages (see Chapter 6)

Mistake 4: Large Transactions on New Accounts

- **Symptom:** Newly registered Stripe account suddenly receiving large orders
- **Consequence:** Triggers KYC review
- **Solution:** Gradually increase transaction volume; prepare product proof materials in advance

Mistake 5: Dispute Rate Gets Out of Hand

- **Symptom:** Failing to respond to buyer complaints, dispute rate exceeds thresholds
- **Consequence:** Stripe Radar auto-flagging, account limitation
- **Solution:** Establish customer service processes; keep dispute rate below 0.25%

2.3 How Stripe Radar Risk Control Works

Automated Risk Control Process

1. **Transaction Scoring:** Every transaction scored via machine learning model
2. **Pattern Detection:** Identifies anomalous transaction patterns (amount, frequency, geography)
3. **Dispute Rate Monitoring:** Real-time tracking; auto-flagging when thresholds are crossed
4. **Website Crawling:** Periodic crawling of website content for compliance
5. **Manual Review:** High-risk transactions trigger human review

Risk Control Trigger Signals

Trigger Factor	Risk Level	Explanation
Dispute rate over 0.25%	Critical	Stripe Radar auto-flag threshold
New account large transactions	Medium	Normal process, prepare product proof
Incomplete website info	Medium	Missing refund policy, contact info
Undisclosed dropshipping	High	60% of Chinese sellers banned for this
Product description mismatch	High	Misleading listings

Stripe account information	Stripe	Stripe history
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Stripe Review Dimensions

1. **Personal identity authenticity:** Identity, address, bank account
2. **Website content compliance:** Regular crawler scans
3. **Product image verification:** Real product screenshots required
4. **Domain verification:** Proof of domain ownership
5. **Purchase invoices / sales records:** Proof of business authenticity
6. **Customer communication records:** Proof of service quality

2.4 How New Accounts Safely Navigate the Observation Period

Observation Period Definition

Newly registered Stripe accounts are under observation for the first 30-90 days. The risk control system closely monitors:

- Transaction amounts and frequency
- Dispute rate
- Website content consistency
- Customer complaint rate

Safe Transition Strategies

1. **Gradually increase transaction volume:** Week 1: no more than 5 transactions/day; Week 2: gradually increase to 10-20/day
2. **Keep product descriptions consistent:** Website product descriptions must match Stripe registration info
3. **Reply to customer inquiries promptly:** Within 24 hours
4. **Prepare product proof materials:** Have product screenshots, purchase invoices, and sales records ready
5. **Avoid large transactions:** During observation, no single transaction over ,000

2.5 Dispute Rate Control Strategies (Below 0.25%)

Dispute Rate Formula

Dispute Rate = (Disputed Transactions / Total Transactions) * 100%

Control Strategies

1. **Accurate product descriptions:** No exaggeration, no hiding limitations
2. **Set reasonable user expectations:** Provide detailed product usage instructions
3. **Establish customer service processes:** Reply to all inquiries within 24 hours
4. **Proactive refunds:** For unsatisfied customers, issuing a refund is better than a dispute
5. **Keep communication records:** Document all customer communications for dispute evidence

Dispute Rate Thresholds

Dispute Rate	Consequence
Below 0.25%	Safe
0.25% - 1%	Warning, enhanced monitoring
Above 1%	Account termination, 180-day ban from Stripe

2.6 Appeal Process + POA Template

Appeal Process

1. **Step 1:** Check restriction reason (log into Stripe Dashboard -> Account Status page)
2. **Step 2:** Prepare appeal materials (ID, product proof, business proof, POA)
3. **Step 3:** Submit appeal (via Stripe Dashboard or email to Support)
4. **Step 4:** Follow up (usually 3-5 business days for response; provide supplementary materials promptly if requested)

POA (Plan of Action) Template

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Plan of Action (POA)

1. Root Cause Analysis

[Detail the specific reason your account was limited]

2. Corrective Actions Taken

1. [Specific action 1]

2. [Specific action 2]

3. [Specific action 3]

3. Preventive Measures

1. [Long-term measure 1]

2. [Long-term measure 2]

3. [Long-term measure 3]

Attachments:

- Product screenshots
- Purchase invoices
- Sales records
- Website screenshots

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3. PayPal: Pitfalls and Strategies for Digital Sellers

3.1 The Grey Zone: PayPal Virtual Items Clause

Key Clauses in the Acceptable Use Policy (AUP)

PayPal's AUP prohibits the following activities:

- Activities violating any laws or regulations
- Drugs, steroids, controlled substances
- Drug-related equipment
- Cigarettes
- Items encouraging, promoting, or facilitating illegal activities
- **Stolen goods (including digital and virtual items)**
- Hate, violence, discrimination
- Criminal economic exploitation

- Obscene materials
- Items infringing copyrights, trademarks, publicity rights, or privacy

Grey Zone Analysis

Key Question: Does the clause stolen goods (including digital and virtual items) mean ALL digital products are considered stolen?

Actual Interpretation:

- Compliant digital products (your original ebooks, templates, courses) are **NOT** stolen goods
- However, PayPal's risk control system may **misclassify** certain digital products as stolen goods
- This misclassification is more likely on new accounts or with large transactions

***Practical Reminder:** Since digital and virtual items are explicitly listed in the prohibited category, PayPal is stricter with digital product sellers. Clearly state the originality and legality of your products in descriptions.*

3.2 Handling the 21-Day Probation Period

Probation Period Definition

Newly registered PayPal accounts have a **21-day risk probation period**. Balances during this period **cannot be withdrawn**.

Coping Strategies

1. **Prepare product proof materials in advance:** Have product screenshots, purchase invoices ready during the probation period
2. **Keep transaction volume low:** No more than 10 transactions/day during 21 days
3. **Avoid large transactions:** No single transaction over
4. **Reply to customer inquiries promptly:** Establish rapid response mechanisms
5. **Withdraw immediately after probation ends:** Once the 21 days are up, withdraw remaining funds right away

3.3 Blind Spots in Buyer Protection Policies

Seller Protection Policy

- Selling **physical goods** (clothing, toys, electronics) qualifies for seller protection
- Requires proof of delivery
- **Digital/intangible items are NOT covered**

***Practical Reminder:** If you sell digital products via PayPal and a dispute arises, you have zero protection. This is a critical risk every digital seller must understand.*

Risk Points

1. **No shipping proof for digital goods** -> High dispute loss rate
2. **Buyer protection doesn't cover digital goods** -> Buyers can dispute easily
3. **High dispute rate** -> Account limitations
4. **Infringement complaints (GBC law firm mass litigation)** -> Permanent account bans

3.4 Identifying and Preventing High Chargeback Scenarios

High-Risk Scenarios

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First month of new account	Lowest	Strictly control volume, prepare proof materials
Large orders in Q3/Q4	High	Preparation with buyer, keep communication records
Multi-country IP issues	Medium	Use local IP, avoid frequent changes
Unauthorized refund requests	Lowest	Establish customer service processes

3.5 Defending Against GBC Law Firm Mass Litigation

What Is GBC?

GBC (Global Brand Coalition) is a law firm specializing in mass litigation against cross-border e-commerce sellers through IP complaints.

Defense Strategies

1. **Ensure product originality:** Don't use third-party trademarks, logos, or brand words
2. **Retain copyright proof:** Original creation files, timestamps
3. **Respond to complaints promptly:** Handle GBC emails immediately upon receipt
4. **Establish legal counsel:** Maintain contact with professionals familiar with cross-border e-commerce law
5. **Diversify payment channels:** Don't put all funds in PayPal

3.6 Appeal Paths After Fund Freezes

Appeal Process

1. **Step 1:** Go to Resolution Center (log into PayPal -> Resolution Center)
2. **Step 2:** Submit required materials (ID, purchase receipts, sales records, brand authorization, rectification proof)
3. **Step 3:** Contact customer service (if Resolution Center cant resolve, call PayPal support)
4. **Step 4:** Wait for review (usually 3-5 business days)

Key Reminders

- After PayPal shows the withdrawable page, you have **only one withdrawal opportunity**
- Violations can lead to fund freezes of **180 days** or **permanent confiscation**
- Single violation (SUD) penalties can reach **,500** per transaction
- Customer service cannot override systemic risk control decisions

4. Gumroad: Platform Rules and Advantages

4.1 Platform Overview

Gumroad is a digital product sales platform designed specifically for creators -- and it's the most friendly payment channel for digital sellers outside of Stripe/PayPal:

- **Positioning:** Creators sell digital/physical products, membership subscriptions, and consulting services directly to consumers
- **Product Types:** Ebooks, design assets, music, software, courses, memberships, physical products
- **Payment Processing:** Handles payments via Stripe Connect; Gumroad acts as the Payment Services Provider
- **Global Reach:** Supports 13 languages, accepts payments worldwide
- **Zero Barrier:** No website needed; comes with a built-in store page editor

4.2 Fee Structure (2024-2025)

Free Plan

- **Platform commission:** 10% transaction fee
- **No monthly fee:** No hidden charges
- **Payment processing fee:** Additional Stripe/PayPal credit card processing fee (~2.9% + .30/transaction)
- **Total cost:** ~13% (10% + 2.9%)

Paid Plans (Pro/Plus, -/month)

- **Platform commission:** Reduced to 5%
- **Payment processing fee:** Same as above
- **Total cost:** ~8% (5% + 2.9%)

Competitor Comparison

Platform	Free Plan Commission	Pro Plan Commission	Monthly Fee
Gumroad	10%	5%	Free
Pozible	5%	5%	Free / From \$20
Udemy	5%	5%	Free
Udacity	5%	5%	Free

***Practical Reminder:** For new sellers with monthly revenue under , the 10% commission on Gumroads free plan isnt significantly different from the paid plan. Start with the free plan, upgrade to Pro once monthly sales exceed .*

4.3 Fund Release and Settlement Schedule

Settlement Frequency

- **Biweekly settlements** -- Gumroad transfers earnings automatically to your linked bank account

New Seller Fund Holds

- **New sellers have a fund hold period;** duration varies by region
- The first few transactions are typically held temporarily until Gumroad confirms no disputes
- **Recommendation:** After your first batch of sales, keep at least 14 days of funds untouched

Disputes and Refund Impact

- If a buyer disputes or requests a refund, Gumroad reserves the right to deduct the corresponding amount from pending settlements
- **Recommendation:** Reserve 20% of funds to cover potential refunds/disputes
- Digital product refund rates on Gumroad are typically lower than on independent Stripe/PayPal setups

4.4 VAT Handling -- Gumroad's Core Advantage

Platform-Handled VAT

- **Gumroad acts as Merchant of Record (MoR)**, automatically handling VAT collection and remittance for EU/UK and other regions
- **Sellers dont need to register for VAT** or file returns themselves
- This is Gumroads biggest compliance advantage compared to Stripe/PayPal

***Practical Reminder:** With Stripe/PayPal direct collecting, you need to register and handle VAT yourself. On Gumroad, the platform takes care of it.*

US Sales Tax

- Gumroad also handles US state sales tax collection and filing
- Sellers dont need to worry about varying state tax rates

4.5 Content Policy

Gumroads content policy aligns broadly with Stripe/PayPal but enforcement is relatively more relaxed:

Prohibited Content

- Illegal content
- Content infringing intellectual property
- Adult content (NSFW)
- Unfair business practices
- Hate/violence/discrimination-related content

Differences from Stripe/PayPal

Dimension	Gumroad	Stripe/PayPal
Adult content	Strictly prohibited	Stripe allows some adult content, PayPal bans by default
IP/PL	Prohibited	Stripe restricted, requires approval
Transparency	Prohibited	Stripe restricted
Content review	Platform internal review	Primarily automated risk control
Appeal communication	Human customer support	Primarily online forms

4.6 Gumroad Risk Control Characteristics

Lower Automation Level

- Gumroad doesnt have fully automated risk control like Stripe/PayPal
- Dispute handling is more human-centric, with **human compliance teams** involved
- For a new sellers first dispute, Gumroad typically issues a warning rather than immediate banning

Risk Control Trigger Factors

1. **Mass refund requests** -> May trigger review
2. **Product severely mismatches description** -> Buyer complaints
3. **Infringing content** -> Copyright holder reports
4. **Suspicious activity** -> Fake orders, artificial sales inflation

Comparison with Stripe/PayPal

Dimension	Gumroad	Stripe	PayPal
Risk control automation	Low (human-led)	High (Stripe AI)	Very high (auto system)
Dispute resolution	Human	AI/HR warning	AI/HR resolution
Appeal handling rate	Higher (human review)	Medium	Low (no direct appeal)
Final review risk	Low	Medium	High (AI/HR review)

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4.7 Gumroad Seller Compliance Essentials

Must Do

- ☐ Product description matches actual content
- ☐ Update product content regularly (when applicable)
- ☐ Retain transaction records for at least 2 years
- ☐ Comply with Gumroad Acceptable Use Policy
- ☐ Respond to buyer inquiries promptly

Absolutely Must Not Do

- ☐ Sell infringing/pirated content
- ☐ False advertising of product effectiveness
- ☐ Fake orders / artificial sales inflation
- ☐ Sell adult/illegal content
- ☐ Circumvent Gumroad for private transactions (to avoid platform fees)

5. Multi-Channel Payment Architecture

5.1 Why Single-Channel Payment Is Dangerous

Relying on a single payment processor is like putting all your eggs in one basket. When that one channel freezes your funds, your entire business stops.

5.2 Recommended Architecture for Digital Sellers

`

[Your Store]

+-----+-----+

[Gumroad] [Stripe] [PayPal]

(Primary) (Backup) (Backup)

`

Primary Channel: Gumroad

- **Role:** Main storefront for digital products
- **Advantages:** VAT handled by platform, low friction for buyers, human support
- **Best for:** Product launches, new sellers, VAT-complex markets

Backup Channel 1: Stripe (on your own store)

- **Role:** Direct checkout on your standalone store
- **Advantages:** Full control over customer experience, no platform commission beyond processing fees
- **Best for:** Established sellers with their own websites

Backup Channel 2: PayPal

- **Role:** Alternative payment method alongside Stripe

- **Advantages:** Many buyers prefer PayPal; builds trust
- **Best for:** Increasing conversion rates; NOT as primary channel for digital goods

5.3 Fund Management Strategy

1. **Dont withdraw everything at once:** Keep 20-30% of funds in each platform as buffer
2. **Rotate withdrawal schedules:** Dont withdraw all funds on the same day
3. **Monitor each platform's health:** Check dispute rates, account status regularly
4. **Have an emergency fund:** Keep 1-2 months of operating expenses in a separate account

6. Compliance Checklist and Daily Operations

6.1 Product-Level Compliance

Must Do

- ☐ Product descriptions are clear, truthful, and free of exaggerated claims
- ☐ No get rich quick or easy money language
- ☐ All materials have legal copyright or proper licensing
- ☐ No brand names or trademarked words in product titles
- ☐ AI-generated content is clearly labeled
- ☐ Templates/assets dont contain third-party logos or trademarks

Must Not Do

- ☐ Sell infringing content (fonts, images, music, etc.)
- ☐ Use fake user reviews
- ☐ Sell unauthorized software or content
- ☐ Misrepresent product capabilities

6.2 Website-Level Compliance

Required Pages

- ☐ **Refund/Return Policy** (clearly state digital product refund rules)
- ☐ **Privacy Policy** (GDPR/CCPA compliant)
- ☐ **Terms of Service**
- ☐ **Contact Page** (email, physical address)
- ☐ **About Page** (real company/personal introduction)

Website Information

- ☐ Domain registration matches website info
- ☐ Website content matches payment account declarations
- ☐ Prices are clear with no hidden fees
- ☐ Product images are authentic, not stolen

6.3 Operations-Level Compliance

Daily Compliance

- ☐ Dispute rate maintained below 0.25%
- ☐ Customer inquiries and complaints responded to promptly
- ☐ All communications documented
- ☐ Transaction data regularly backed up
- ☐ Platform policy updates monitored regularly

Fund Security

- ☐ PayPal new account: dont withdraw during 21-day probation
- ☐ Dont withdraw large amounts immediately after receiving payments (recommend 30-50% initially)
- ☐ Reserve 20% of funds for potential refunds
- ☐ Maintain dual-channel payment architecture

7. Appeal Toolkit

7.1 Stripe Appeal Process

Step 1: Check Restriction Reason

- Log into Stripe Dashboard
- Check the Account Status page for restriction details
- Note the specific materials requested

Step 2: Prepare Appeal Materials

Required Documents Checklist:

1. **Identity proof:** Passport / ID scan
2. **Address proof:** Utility bill / bank statement (within 3 months)
3. **Product proof:**
 - Product screenshots
 - Product links
 - Product description documents
4. **Business proof:**
 - Purchase invoices (if applicable)
 - Sales records
 - Website screenshots
5. **Plan of Action (POA):**
 - Root cause analysis
 - Corrective actions taken
 - Preventive measures

Step 3: Submit Appeal

- Via Stripe Dashboard
- Or email Stripe Support
- Aim for the 72-hour golden window

Step 4: Follow Up

- Usually 3-5 business days for response
- Provide supplementary materials promptly if requested
- If first appeal fails, you can appeal again

7.2 PayPal Appeal Process

Step 1: Go to Resolution Center

- Log into PayPal
- Enter Resolution Center
- Check account restriction reason

Step 2: Submit Required Materials

Required Documents Checklist:

1. **Identity proof:** Passport / National ID
2. **Purchase receipts:** Invoices, supplier contracts
3. **Sales records:** Order screenshots, delivery proof
4. **Brand authorization** (if applicable)
5. **Rectification proof** (if infringing products were removed)

Step 3: Contact Customer Service

- If Resolution Center cant resolve, call PayPal support
- Prepare in advance: login email, real name, phone, last 4 digits of card

Step 4: Wait for Review

- Usually 3-5 business days
- Account restored after successful review

7.3 Appeal Email Template

Subject: Appeal for Account Restriction - [Your Account Email]

Dear [Platform Name] Team,

My account ([account email/ID]) received a restriction notice on [date]. I have carefully reviewed the restriction reason and taken the following corrective actions:

1. [Specific action 1]
2. [Specific action 2]
3. [Specific action 3]

Attached supporting documents:

- [Document 1]
- [Document 2]
- [Document 3]

I commit to strictly complying with platform policies and operating my business in full compliance. I respectfully request your review and account restoration.

Please feel free to contact me if you have any questions.

Sincerely,
[Your Name]
[Contact Information]
[Date]
,

8. Appendix

8.1 Platform Policy Links

- **Stripe Prohibited and Restricted Businesses:** <https://stripe.com/en-ca/legal/restricted-businesses>
- **Stripe FAQ:** <https://support.stripe.com/questions/prohibited-and-restricted-businesses-list-faqs>
- **PayPal Acceptable Use Policy:** <https://www.paypal.com/us/webapps/mpp/ua-acceptable-use>
- **PayPal Seller Protection:** <https://www.paypal.com/us/sellerprotection>
- **Gumroad Terms of Service:** <https://help.gumroad.com/terms/gumroad-terms-of-service>
- **Gumroad Acceptable Use Policy:** <https://help.gumroad.com/article/32-acceptable-use-policy>
- **Gumroad Pricing:** <https://gumroad.com/pricing>

8.2 Key Numbers Quick Reference

Item	Threshold	Explanation
Stripe dispute rate warning	0.25%	Stay below this
Stripe dispute rate ban	1%	Account termination
PayPal new account protection	21 days	Balance non-withdrawable
PayPal fund freeze period	180 days	Severe violations
PayPal per transaction penalty	\$200	1st 3rd penalty
Card withdrawal ratio	60%	Recommended withdrawing < 60%
Stripe system update window	12 hours	System outage
Gumroad settlement cycle	Biweekly	Every 2 weeks
Gumroad free plan commission	10%	No monthly fee
Gumroad Pro commission	5%	From month 1
Recommended fund reserve	30%	For refund/chargebacks
Gumroad new seller hold	14 days	After first sales
Gumroad VAT handling	Platform handles	Seller needs no VAT reg.

8.3 Glossary

- **KYC:** Know Your Customer -- identity verification process
- **POA:** Plan of Action -- formal appeal document explaining violations and corrective measures
- **AUP:** Acceptable Use Policy -- platform rules defining prohibited activities
- **MoR:** Merchant of Record -- entity legally responsible for tax collection and remittance
- **SUD:** Specific Undetermined Damages -- PayPal penalty for AUP violations
- **VAT:** Value Added Tax -- European consumption tax
- **Radar:** Stripe's machine learning fraud prevention system

Disclaimer: This guide is compiled from publicly available policies and practical experience for informational purposes only. Platform policies may change at any time. Always refer to official sources for the latest information. This guide does not constitute legal advice; consult a qualified attorney for specific legal concerns.